807.

D. Conclusion

The Court finds that additional documentation is required to establish that "No Kid Hungry" meets the requirements for a cy pres beneficiary under Code of Civil Procedure section 384(b). **Appearances are required in order to set a date for a continued hearing after appropriate documentation is provided.**

Subject to resolution of that issue, the Court would find that the proposed settlement is sufficiently fair, reasonable, and adequate to justify preliminary approval.

If the motion ultimately is granted, counsel will be directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

6. 9:00 AM CASE NUMBER: C23-03203
CASE NAME: BRYANT POTTS VS. BUILDING CONNECTIONS BEHAVIORAL HEALTH, INC
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: BUILDING CONNECTIONS BEHAVIORAL HEALTH, INC
<u>*TENTATIVE RULING:*</u>

Defendant, Building Connections Behavioral Health, Inc., filed this motion to compel arbitration after plaintiff, Bryant Potts, filed this putative class action for wage and hour violations. The motion is **granted**. Parties are ordered to arbitrate, and the action is stayed pending the outcome of arbitration. A court must order arbitration if it determines that a valid agreement to arbitrate exists. Here, such agreement exists, as discussed below.

Background

Plaintiff filed this putative class action in December of 2023, alleging he worked for defendant from approximately December 2016 to May 12, 2022, as a non-exempt clinical supervisor. He sets forth eleven causes of action: (1) failure to pay overtime; (2) failure to pay state minimum wage; (3) failure to provide accurate pay stubs; (4) failure to provide meal breaks; (5) failure to provide rest breaks; (6) failure to reimburse all work-related expenses; (7) failure to timely pay wages during employment; (8) failure to pay all wages on discharge; (9) violation of unfair competition law; (10) retaliation in violation of Labor Code § 1102.5; and (11) wrongful termination in violation of public policy. In response, on July 17, 2024, defendant filed a general denial asserting a binding arbitration agreement as a defense.

On August 6, 2025, defendant moved to compel arbitration. Defendant argues that the FAA applies, that the arbitrator must decide issues of enforceability, that the agreement is not unconscionable, that the class claims should be stricken, and that the proceedings should be stayed pending arbitration.

In support of the motion, defendant provides a declaration from its attorney, Janelle J.

Sahouria, who provides litigation-related documents. A declaration from Christy Somers, the Human Resources Manager for defendant, provides evidence that plaintiff did not revoke the arbitration agreement, and that defendant is engaged in interstate commerce. Defendant also submits a declaration from Shellie Roanhaus, the Business Operations Manager for defendant, who attaches an employee handbook and plaintiff's signature page acknowledging receipt. The agreement, which appears in a sans-serif font, and is clearly titled "Mutual Agreement to Arbitrate Claims," spans pages 25-26 of the handbook. The agreement states, in pertinent part:

> Any controversy, dispute or claim arising out of or relating to our employment relationship shall be resolved through final and binding arbitration. Both the Company and you mutually consent to the resolution by binding arbitration of all claims or controversies that the Company may have against you or that you may have against the Company.
>
> […] The Arbitrator, and not any federal, state, or local court or agency, shall have exclusive authority to resolve any disputes relating to the interpretation, applicability, enforceability or formation of this Agreement, including but not limited to, any claim that all or any part of this Agreement is void or voidable.

The introduction to the handbook, on page 2, includes the statement, "With the exception of the Mutual Agreement to Arbitrate Claims, nothing in this Employee Handbook creates any contractual obligations, nor is it intended to create any contractual obligations on the part of the Company and its employees."

Plaintiff filed an opposition to the motion late based on what counsel believes were connectivity issues due to weather. Parties stipulated to allow the late filing and to extend the reply deadline commensurately. Plaintiff argues the motion should be denied based on lack of assent, because defendant waived its right to compel arbitration, and because the arbitration agreement is unconscionable. Plaintiff submits a declaration from his counsel in support of the opposition, to which defendants have filed objections.

Evidentiary Objections

Defendant's objections to counsel's declaration in support of the opposition are **overruled** on the grounds asserted, though counsel's statements appear to be of little evidentiary value.

Standard

"A petition to compel arbitration should be granted if the court determines that an agreement to arbitrate the controversy exists. (Code Civ. Proc., § 1281.2.) The moving parties bear the burden of proving the existence of the arbitration agreement by a preponderance of the evidence. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580.) Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove its defense. (*Alvarez, supra,* 60 Cal.App.5th at 580.) If a written arbitration agreement exists, it will be enforced unless there are grounds for its revocation. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125; Code Civ. Proc. § 1281].)

Analysis

A. Existence of Agreement

In California, contract formation requires free and mutual consent communicated to each other. (Civ. Code, § 1565.) Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties. (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 788.)

Here, defendant provides evidence of plaintiff having signed an acknowledgement that he had received a copy of defendant's employee handbook and that plaintiff read and understood "all of the policies and procedures." (See Roanhaus Decl., Ex. B.) In his opposition, plaintiff does not deny having signed the acknowledgement page, but argues that it was insufficient to create an agreement to arbitrate under California law. He cites *Sparks v. Vista Del Mar Child & Family Servs.* (2012) 207 Cal. App. 4th 1511. In *Sparks*, the court noted that, like in *Mitri v. Arnel Management Co*. (2007) 157 Cal.App.4th 1164, the relevant employee handbook was informational rather than contractual. The employers in those cases failed to point out or call attention to the arbitration requirement in the acknowledgment form signed by the employees. (*Sparks, supra,* 207 Cal.App.4th at 1520.)

The *Sparks* court held "there must be more than a boilerplate arbitration clause buried in a lengthy employee handbook given to new employees" and set forth a "minimum" standard that "there should be a specific reference to the duty to arbitrate employment-related disputes in the acknowledgment of receipt form signed by the employee at commencement of employment." (*Id*. at 1522.) The rationale discussed there noted that "[t]he increasing phenomenon of depriving employees of the right to a judicial forum should not be enlarged by imposing upon employees an obligation to arbitrate based on one obscure clause in a large employee handbook distributed to new employees for informational purposes." (*Ibid*.) Here, in contrast, the introduction specifically notes that the arbitration provision *is* contractual in nature.

Additionally, the plaintiff in *Sparks* submitted a declaration in opposition to the motion to compel arbitration wherein he stated he "was not made aware of the arbitration clause by defendant and was not aware of it." (*Id*. at 1516.) In *Mitri*, plaintiffs there also each filed a declaration, in which "they denied entering into an arbitration agreement with Arnel or ever being asked to do so." (*Mitri, supra*, 157 Cal.App.4th at 1168.) Here, plaintiff submits no evidence that he declined to arbitrate or was unaware of the agreement.

An agreement to arbitrate may be express or implied. Where an employee accepts employment on certain terms, commences performance, and is paid, this may be construed as assent to the handbook's terms. (*Harris v. TAP Worldwide, LLC* (2016) 248 Cal.App.4th 373, 384, collecting cases; see also *Craig v. Brown & Root, Inc*. (2000) 84 Cal.App.4th 416, 420.)

Defendant has met its burden to show the existence of an agreement to arbitrate.

B. Application of the Federal Arbitration Act

Defendant asserts the agreement here is governed by the Federal Arbitration Act (FAA) by its express terms, which state, "[t]he Arbitrator, not any federal, state, or local court or agency, shall have exclusive authority to resolve any disputes relating to the interpretation, applicability, enforceability, or formation of this Agreement, including but not limited to any claim that all or any part of this Agreement is void or voidable." Plaintiff does not dispute as much. To the extent California law differs from that of the FAA, the FAA would govern.

C. Waiver

Waiver "is the intentional relinquishment or abandonment of a known right." (*Morgan v. Sundance, Inc*. (2022) 596 U.S. 411, 417.) Whether a party moving to compel arbitration has lost its right to compel arbitration as a result of its litigation-related conduct is governed by generally applicable state law contract principles." (*Quach v. California Commerce Club, Inc*. (2024) 16 Cal.5th 562, 572.) "To decide whether a waiver has occurred, the court focuses on the actions of the person who held the right; the court seldom considers the effects of those actions on the opposing party." (*Morgan, supra*, 596 U.S. at 417.)

Until recently, the factors set forth in *St. Agnes Medical Center v. PacifiCare of California* (2003) 31 Cal.4th 1187 governed the analysis of whether waiver on a motion to compel arbitration. There, the high court explained that "a court can consider (1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether the litigation machinery has been substantially invoked and the parties were well into preparation of a lawsuit before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place; and (6) whether the delay affected, misled, or prejudiced the opposing party." (*St. Agnes, supra*, 31 Cal.4th at 1196, citations omitted.)

The Supreme Court altered the analysis in *Quach v. California Commerce Club, Inc*. (2024) 16 Cal.5th 562. As described by one court:

> *Quach*'s test for evaluating whether a party has waived its right to compel arbitration differs from *St. Agnes*'s test in three significant ways. First, *St. Agnes*'s arbitration-specific test for waiver required the party opposing a motion to compel arbitration on waiver grounds to prove both dilatory conduct by the party seeking to compel arbitration and prejudice arising from that conduct. (*St. Agnes, supra*, 31 Cal.4th at p. 1203; see also *Quach, supra*, 16 Cal.5th at p. 581 [referring to *St. Agnes*'s "standards" as being "stringent"].) Under Quach, prejudice is no longer "determinative" or, for that matter, even "relevant." (*Quach*, at pp. 573–575, 585.) By focusing solely on whether the words and conduct of the party seeking to compel arbitration evince a relinquishment or abandonment of the right to arbitrate, *Quach* eliminated the prejudice requirement and made proving waiver easier. Second, *St. Agnes*'s arbitration-specific test for waiver turned on a multitude of factors. *Quach* observed that some factors were more pertinent to equitable defenses other than waiver, "such as forfeiture, estoppel, laches or timeliness." (*Id*. at p. 584.) By directing courts to apply the generally applicable standard that "consider[s] only those factors that are relevant to" waiver, *Quach* narrowed the test for waiver and, in that respect, made proving waiver harder. (*Ibid*.) Third, *St. Agnes*'s arbitration-specific test for waiver required the party asserting waiver to prove waiver of arbitration by a preponderance of the evidence. *Quach* raised that standard of proof by requiring the party to prove waiver by clear and convincing evidence—that is, by evidence making it "'highly probable'" the party seeking to arbitrate knew of the contractual right and intentionally relinquished or abandoned it. (*Id*. at p. 584.) In this regard, *Quach* made proving waiver harder.

(*Hofer v. Boladian* (2025) 111 Cal.App.5th 1, 12 [332 Cal.Rptr.3d 506].)

Because defendant waited for over nineteen months prior to bringing the motion, plaintiff asserts that defendant waived the right to arbitrate.

Plaintiff's opposition asserts that "[u]nreasonable delay alone may constitute waiver under *Morgan*." (Memorandum of Points and Authorities in Support of Opposition, 8:10-11, citing *Morgan v. Sundance, Inc.*, *supra*, 596 U.S. 411, 417-419.) However, the U.S. Supreme Court there noted it was only deciding the single issue of whether or not prejudice should be a factor in the arbitration-specific context of waiver. (*Morgan, supra*, 596 U.S. at 416-417.) As for whether timeliness is a factor for waiver under California law, *Quach* at least raised the question. (See *Quach, supra*, 16 Cal.5th at 584 [identifying "laches or timeliness" as "relevant to other defenses […] but not to waiver."].) Plaintiff also cites *Bower v. Inter-Con Security Systems, Inc*. (2014) 232 Cal.App.4th 1035, but that case predates *Quach*, which changed the relevant standard, as detailed above, and involved a party that had propounded significant discovery requests on the party resisting arbitration.

Here, defendant took no action that reveals an intent to abandon the right to arbitration. Delay alone does not suffice. The delay here is further explained by defendant's hope to mediate and invest its limited resources in mediation, two of which were scheduled. Both mediation sessions were, according to the evidence presented, canceled by plaintiff.

Defendant asserted the arbitration defense in its answer, in the joint CMC statement prior to the June CMC, and at the CMC. Defendant did not propound any discovery on plaintiff or make any motions prior to this one. Once the August 2025 mediation was canceled by plaintiff, defendant attempted to have this motion heard on a shortened time basis.

In light of this factual background, the Court does not find "clear and convincing evidence" of defendant intentionally relinquishing or abandoning its right to compel arbitration and concludes there was no waiver.

D. Enforceability Subject to Delegation Clause

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for rescission of the agreement." (Code Civ. Proc., § 1281.2.)

Defendant asserts that it is the arbitrator who must decide whether the agreement is enforceable. While challenges to the validity of the underlying contract are generally for the arbitrator to decide, challenges to the validity of the arbitration clause itself are generally resolved by the court in the first instance. (*Jack v. Ring LLC* (2023) 91 Cal.App.5th 1186, 1196-1197, citations omitted.) This is because the usual presumption is that a court, not an arbitrator, decides threshold issues of arbitrability such as whether the arbitration agreement itself is valid and enforceable. (*Id*. at 1197, citations omitted.) Still, parties may agree to delegate authority to the arbitrator to decide threshold issues if such a delegation is "clear and unmistakable." (*Id*. at 1197, citations omitted.)

Here, the agreement states that "[t]he Arbitrator, and not any federal, state, or local court or agency, shall have exclusive authority to resolve any disputes relating to the interpretation, applicability, enforceability or formation of this Agreement, including but not limited to, any claim that all or any part of this Agreement is void or voidable."

Plaintiff does not respond to the issue of delegation. Accordingly, the Court finds this provision to be a "clear and unmistakable" delegation of threshold arbitrability questions and declines to further analyze the enforceability of the agreement.